

Article | 24 September 2026

FRANCE

France's confidence rebound is already running out of steam

France's fragile economy faces a double hit as confidence fades and borrowing costs surge



The French economy is likely to continue underperforming the rest of the eurozone

Confidence is fading across the economy

The summer improvement in French confidence proved short-lived. In September, the overall business climate fell to 96, moving further below its long-term average, while employment sentiment weakened and consumer confidence remained exceptionally low. Together, these indicators point to subdued domestic demand, cautious hiring and little momentum heading into the autumn.

The sectoral breakdown confirms this broad loss of momentum. Retail and services reported softer demand and activity expectations, construction remained under pressure, and the wholesale trade outlook deteriorated amid elevated uncertainty. Industry was comparatively resilient, but weaker order books, rising inventories and more cautious recruitment plans suggest that it will not be strong enough to offset the slowdown across the rest of the economy.

This weakness on the business side is compounded by persistently low household confidence. The consumer confidence indicator remained at 86 in September, 14 points below its long-

term average, while households' assessment of past changes in living standards fell to -81, versus a historical average of -49. Expectations improved slightly but remained deeply depressed, and unemployment concerns were still unusually high. Persistent economic and political uncertainty is therefore encouraging precautionary saving rather than stronger consumption.

Taken together, the business and consumer surveys leave France's outlook looking more depressed than that of many other European economies. This means that the French economy is likely to continue underperforming the rest of the eurozone over the near term.

The bond sell-off deepens the squeeze

The sharp rise in French long-term rates adds a new headwind to an already weak outlook. After climbing by around 15 basis points on Wednesday, the 10-year OAT yield rose further this morning, briefly reaching 4.70%, its highest level since 2008. This is roughly half a percentage point above its level at the start of September and reflects both the broader sell-off in eurozone bonds and a growing risk premium on France's fiscal and political outlook.

This increase will gradually feed into the public finances, which are already in a very difficult position. As discussed in [our latest article on France's fiscal outlook](#), the deficit is expected to reach 5.4% of GDP in 2026, after 5.1% in 2025, and could rise to 6.5% in 2027 without corrective measures. Higher yields will not affect the entire debt stock immediately, given its relatively long average maturity, but they will steadily raise the interest bill as debt is refinanced.

The impact will not be confined to the budget. Higher borrowing costs will further constrain household housing investment and the construction sector, while making business investment less attractive. At the same time, a rising interest burden will leave the government with even less room to support activity and increase the scale of the fiscal adjustment required. Against a backdrop of low confidence, this combination is likely to reinforce households' precautionary saving and companies' wait-and-see behaviour.

These tighter financial and fiscal conditions will therefore make the recovery even more sluggish. We currently expect French GDP growth to average just 0.4% in 2026 before edging up to 0.9% in 2027, supported by somewhat stronger European demand and a gradual improvement in industry and investment. Even then, growth would remain constrained by weak household confidence, a softer labour market and the need for fiscal consolidation.

Author

Charlotte de Montpellier

Senior Economist, France and Switzerland

charlotte.de.montpellier@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.